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GUALTIERO AZZALINI

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OFFICE CONTACT INFORMATION
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PERSONAL INFORMATION
Date of birth: January 29, 1991
Citizenship: Italian
One child (August 2025)

FIELDS

Macroeconomics, Macro-labor, Household Finance, Heterogeneous Agents Macro, Wealth Inequality

ACADEMIC POSITIONS

Aug 2023-present: Assistant Professor of Finance, Dept. of Finance, Stockholm School of Economics
Aug 2023-present: Research Fellow, Swedish House of Finance

EDUCATION

Ph.D. in Economics, Institute for International Economic Studies, Stockholm University, 2023
at Stockholm School of Economics, 2018-2019
Thesis title: "Essays on Income Risk, Portfolio Choices and the Macroeconomy"
Supervisors: Per Krusell, Kurt Mitman. Opponent: Alexander Michaelides.
M.Sc. in Economic and Social Sciences, Bocconi University, 110/110 cum laude, 2015
B.Sc. in Economic and Social Sciences, Bocconi University, 110/110 cum laude, 2013

RESEARCH PAPERS

"Business cycle asymmetry of earnings pass-through"
How does the insurance firms provide to their workers vary over the business cycle? Using Swedish administrative data, I document that the elasticity of earnings to positive idiosyncratic firm productivity shocks is acyclical, whereas that to negative ones doubles in recessions. A directed search model in which contracts balance insurance against retention reproduces both patterns: low job-finding rates in recessions lead firms to cut pay more after adverse shocks, while free entry caps raises after favorable ones in both states. The same forces generate procyclical skewness in earnings changes and imply that hiring subsidies, unlike unemployment benefits, erode workers' protection.

"Inferring income properties from portfolio choices"
Two main views exist on the nature of the labor income process: according to one, income shocks are very persistent and agents face similar life-cycle profiles - Restricted Income Profiles (RIP); according to the other, income shocks are not very persistent and life-cycle profiles are individual-specific - Heterogeneous Income Profiles (HIP). This paper studies the implications of these two views in a portfolio choice model in order to discover identification restrictions allowing to discern between them. I find that HIP and RIP imply different life-cycle patterns of the participation and conditional risky share choices but similar patterns of consumption and saving. Crucial for this result is the inclusion of cyclical skewness in the stochastic process for income, which enables us to correctly estimate the part of income risk deriving from the persistence of the

shocks.

"Preference heterogeneity and portfolio choices over the wealth distribution" with Markus Kondziella and Zoltán Rácz
Administrative data reveal that risky-asset participation, expected returns, and idiosyncratic return risk all increase with wealth. These patterns arise endogenously in an incomplete-markets model with portfolio choice, cyclical skewness in labor income shocks, and preference heterogeneity. Estimating the model on Swedish administrative data, we find that matching portfolio allocations over wealth requires two types: an impatient, highly risk-averse majority with preferences typical of the household finance literature, and a patient, less risk-averse 10% with preferences typical of macroeconomics. The latter sort into the right tail, hold over half of aggregate wealth, and drive rising risk-taking even at the very top. Although untargeted, the model matches wealth inequality — including the top 1% share — wealth mobility, and the decline of MPCs in wealth. We then show that endogenous portfolio choice matters for the dynamics of inequality: a permanent one-percentage-point fall in the risk-free rate raises the top 10% wealth share by 3 pp through the portfolio rebalancing of the rich. By contrast, the same shock with portfolio choices hard-wired as a function of wealth implies a decline instead.

PUBLICATIONS

Alesina A., Azzalini G., Favero C., Giavazzi F., Miano A. (2018). Is it the "How" or the "When" that Matters in Fiscal Adjustments?, *IMF Economic Review*, 66 (1), pp 144-188.

RESEARCH PAPERS IN PROGRESS

"Human capital inference" with Zoltán Rácz
There is a long-standing literature in economics whose goal is to infer properties of individuals' income and human capital and their impact on consumption-saving decisions by using revealed choices, especially on consumption. While this approach is superior to the utilization of income data alone, it nevertheless relies on very strong assumptions on the form of the stochastic process for income, in particular it hard-wires the relationship between shocks to current income and expected future income, that is, human capital. In this paper we develop a new method that enables to perform this task without imposing any restriction on the latter. Specifically, we log-linearize the recursive relationship defining human capital, insert it into a linearized savings policy function and derive moment conditions which, in turn, we use for GMM estimation of the parameters governing moments of the joint and marginal distributions of savings and income. Using high quality Swedish administrative data on wealth – which enables us to overcome the well-known issues deriving from using imputed or survey data – we find that about 60 percent of human capital corresponds to expected income in the following year. This result suggests that individuals are very short-sighted regarding their future income when they make consumption-saving decisions.

CODING

Azzalini G., Rácz Z. (2024). MomentMatching.jl: Parameter Estimation of Macroeconomic Models via Moment Matching Methods in Julia.

PROFESSIONAL SERVICE

Referee	The Review of Economic Studies, The Review of Financial Studies, American Economic Review: Insights, Review of Finance, Journal of Economic Dynamics and Control
Departmental	Organizer of the Seminar Series, Dept. of Finance, Stockholm School of Economics (A.Y. 2024-2025, 2025-2026) Organizer of the Brown Bag Seminar Series, Dept. of Finance, Stockholm School of Economics (A.Y. 2023-2024) Organizer of the Household Finance-Macro reading group (from Spring 2025)

TEACHING EXPERIENCE

Spring 2025, Fall 2025	Climate, Financial Markets and the Economy (M.Sc.), Stockholm School of Economics, course director
Fall 2024	Empirical Methods in Finance (M.Sc.), Stockholm School of Economics, course director (joint with Paul Huebner)
A.Y. 2023-2024, 2025-2026	Thesis in Finance (M.Sc.), Stockholm School of Economics, course director
Spring, 2021	Macroeconomics II (Ph.D.), Stockholm University, teaching assistant for Associate Professor Kurt Mitman
Spring, 2020	Macroeconomics II (Ph.D.), Stockholm University, teaching assistant for Professor John Hassler

PRESENTATIONS (including scheduled, by co-author starred)

2026	Society for Economic Dynamics Meeting in Athens, Workshop on Macro & Health at the Norwegian School of Economics
2025	European Association of Young Economists Annual Conference (King's College London)
2024	Sveriges Riksbank (Greater Stockholm Macro Group), Stockholm School of Economics, St. Gallen Financial Economics Workshop*, Swiss Macro Workshop*, IFAU, European Economic Association and Econometric Society Congress (Erasmus University), European Association of Labor Economists Conference (Norwegian School of Economics), Italian Association of Labor Economists (Università Degli Studi di Napoli Federico II), Konjunktur Institutet, University of Gothenburg, Society for Economic Dynamics Winter Meeting Buenos Aires
2023	Arne Ryde Workshop (Lund University), Nordic Summer Symposium in Macroeconomics (Smögen), Midwest Macroeconomics Meeting (Texas Tech)*, Swiss-Swedish Macro Workshop*, Tilburg University (Finance), Banca d'Italia, Stockholm School of Economics (Finance), Norwegian School of Economics
2022	Stockholm University, SUDSWEC Ph.D. Workshop
2021	SHoF (10th National Ph.D. Workshop in Finance)

DISCUSSIONS

2025	Experience-Based Learning, Stock Market Participation and Portfolio Choice, by Richard Foltyn (CEPR Household Finance Conference in Stockholm).
2024	Non-Keynesian stabilizers and inflation spirals, by François Le Grand, Xavier Ragot, Thomas Bourany (Heterogeneous Agents in Macroeconomic Models Conference at the Czech Central Bank)
2023	The Dynamics of Stock Market Participation, by Sigurd Mølster Galaasen and Akash Raja (NFN Young Scholar Workshop, Lund).
	The Investment Channel of Monetary Policy: Evidence from Norway, by J. Cao, T. Hegna, M. B. Holm, R. Juelsrud, T. König, M. Riiser (Arne Ryde Workshop, Lund)
	The Nexus Between Environmental Policy and Income Inequality: A Growth Approach, by Hiep Nguyen (12th National PhD Workshop in Finance at SHoF)

HONORS, SCHOLARSHIPS AND FELLOWSHIPS

2023	Best discussant prize, 12th National Ph.D. Workshop in Finance (Swedish House of Finance)
2022	IFAU research grant for the project "Wage pass-through over the business cycle" (15000 SEK, project leader Per Krusell)
2019	Jan Wallander and Tom Hedelius Foundation Scholarship for studies abroad (declined)
2016	Fondazione Achille e Giulia Boroli for outstanding M.Sc. dissertation

WORK EXPERIENCE

Jan-July, 2018	European Central Bank, DG Macroprudential Policy and Financial Stability, trainee
Sep 2015-Aug 2016	Bocconi University, research assistant for Professors Alberto Alesina, Carlo Favero and Francesco Giavazzi
Feb-July, 2015	Bocconi University, research assistant for Professors Carlo Favero and Vincenzo Galasso
Feb-June, 2015	Bocconi University, research assistant for Associate Professor Barbara Rindi

OTHER EXPERIENCE

Aug 2016-Dec 2017	New York University, Stern School of Business, first year coursework of the Ph.D. in economics
Fall, 2014	Stockholm School of Economics, exchange student
Spring, 2013	Boston University, exchange student
Sep 2013-Aug 2014	Innocenzo Gasparini Institute for Economic Research, visiting student

SKILLS

Languages: Italian, English, Swedish (basic)
Software: Julia, R, Matlab, Git

REFERENCES

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